Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 7 · find part e in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a non-financial objective *Jimmy Choo* might have in the context of the business. • *Jimmy Choo* might want a social objective of being able to support a local charity near to its shops by giving unsold shoes to local charities **(1)** • *Jimmy Choo* wants to remain independent and in control of how its shoe shops are run **(1)** **NB** Do not accept a non-financial objective that is not in the context of *Jimmy Choo*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* complies with health and safety laws. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy Choo* complies with health and safety laws in the context of the business. • *Jimmy Choo* complies with the laws so that all the employees feel safe whilst working in its shoe factories **(1)** • All employees in the maintenance of the shoe factory should be trained and wear protective clothing to reduce the risk of accidents when working on sewing machines **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* Accept any appropriate response	**(1)**

Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Q. No.	Explain **one** advantage to a country of being a member of a trading bloc. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for an advantage to a country being a member of a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Being a member of a trading bloc gives access to other markets within the trading bloc. **(1)** This means that prices between the countries will be competitive **(1)** as there will be no additional costs involved **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with limited trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a country being a member of a trading bloc, with no explanation will get a maximum of 1 mark. Accept any appropriate response.	**(3)**

Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Q. No.	Explain one way businesses support employees with disabilities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one way businesses support employees with disabilities, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Businesses aim to ensure that they do not discriminate against disabled employees **(1)** employing a person who has limited mobility **(1)** means that the business may have to make reasonable adjustments to the premises **(1)** • If an employee has a disability, this should not affect their promotion prospects **(1)** if they apply for an internal promotion **(1)** so that they are treated the same as the other candidates **(1)** **NB** No marks are awarded for a definition. Answers that list three ways with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** impact on a business of an increase in interest rates. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for one impact on a business of an increase in interest rates plus 2 further marks for explaining why, for a maximum of 3 marks. • An increase in interest rates could lead to an increase in financing costs for a business. **(1)** This could lead to a reduction in profits **(1)** and affect the growth/expansion of a business **(1)** • An increase in interest rates may mean customers have less money to spend **(1)** this may mean that they will only buy the essentials they need **(1)** and a business may see a reduction in its revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three impacts on a business of an increase in interest rates with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Q. No.	**Option 1:** casual employees **Option 2:** part-time employees. Justify which **one** of these two options *Jimmy Choo* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Some employees like the option of being 'on call' to work when there is an emergency or they are short of employees for the production of handbags • **Option 2** – College or University students wanting to work during the summer holidays, producing clothes they like to wear would be grateful for the opportunity to work **AO3** • **Option 1** – This means that they do not have a full-time job and can do other tasks like looking after their children or family members • **Option 2** – This means that *Jimmy Choo* can employ workers for a certain period of time without the commitment of full-time permanent contract **AO4** • **Option 1** – However, casual employees do not get any guarantee of work from *Jimmy Choo* and this may make them lack commitment to do their work when they are employed • **Option 2** – However, there is no guarantee that the part-time employees can work the hours or have the skills that *Jimmy Choo* needs	**(9)**

Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Effects of interest rate changes

Answer 1 of 12 · Question 2 part e · 3 marks

2024 JUN · Paper 02 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Q. No.	Define the term **person specification.** **Answer**	Mark

Type MS · Effects of interest rate changes

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Effects of interest rate changes

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Effects of interest rate changes

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Effects of interest rate changes

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Effects of interest rate changes

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a.iv in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Effects of interest rate changes

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark

Type MS · Effects of interest rate changes

Answer 3 of 12 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Effects of interest rate changes

Answer 3 of 12 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.vi in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Effects of interest rate changes

Answer 3 of 12 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.vi in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Effects of interest rate changes

Answer 3 of 12 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.vi in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Effects of interest rate changes

Answer 3 of 12 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.vi in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Effects of interest rate changes

Answer 3 of 12 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 1 of 8 · find part c in this mark scheme extract

1 (a) (i)	**AO1 – 1 mark** **The only correct answer is A – Survival** **B** – is not the correct answer as independence is a non-financial aim of a business **C** - is not the correct answer as control is a non-financial aim of a business **D** -is not the correct answer as challenge is a non-financial aim of a business	**(1)**

Q. No.	Which **one** of the following is a job in the secondary sector? **Answer**	Mark
1 (a) (ii)	**AO1 – 1 mark** **The only correct answer is D – Ship builder** **A** – is not the correct answer as a farmer works in the primary sector **B** - is not the correct answer as a grocery store manager works in the tertiary sector **C** - is not the correct answer as a restaurant waiter works in the tertiary sector	**(1)**

Q. No.	Which **one** of the following is the total daily remuneration cost for the three factories? **Answer**	Mark
1 (a) (iii)	**AO2 – 1 mark** **The only correct answer is D – €57 000** **A** - is not the correct answer as €15 000 is 125 x €120 **B** - is not the correct answer as €16 800 is 140 x €120 **C** - is not the correct answer as €25 200 is 210 x €120	**(1)**

4

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part c in this mark scheme extract

Q. No.	Which **one** of the following is an advantage of a hierarchical organisational structure? **Answer**	Mark
1 (a) (iv)	**AO1 – 1 mark** **The only correct answer is C – It has more job promotion opportunities for its employees** **A** – is not the correct answer as it is more expensive than a flat organisation structure **B** – is not the correct answer because a flat structure has a short chain of command **D** - is not the correct answer because a flat structure has a wide span of control	**(1)**

Q. No.	Which one of the following is the net cash flow for this month? **Answer**	Mark
1 (a) (v)	**AO2 – 1 mark** **The only correct answer is B – €25 000** **A** – is not the correct answer as €17 000 is the opening balance minus the cash inflow **C** – is not the correct answer as €42 000 is the opening balance minus cash outflow **D** - is not the correct answer as €101 000 is the opening balance plus cash inflow minus cash outflow	**(1)**

5

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 3 of 8 · find part c in this mark scheme extract

Q. No.	Which **one** of the following best describes Taylor's motivational theory? **Answer**	Mark
1 (a) (vi)	**AO1 – 1 mark** **The only correct answer is A – workers are motivated by money** **B** – is not the correct answer as esteem needs relate to Maslow's theory of motivation **C** – is not the correct answer as hygiene factors relate to Herzberg's theory of motivation **D** - is not the correct answer as working in a team relates to Maslow's theory of motivation	**(1)**

6

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 4 of 8 · find part c in this mark scheme extract

Q. No.	Define the term **job rotation.** **Answer**	Mark
1 (b)	**AO1 – 1 mark** Award 1 mark for a correct definition of **job rotation**. • Employees spending a period of time in different jobs/departments **(1)**	**(1)**

Q. No.	Define the term **interest rate**. **Answer**	Mark
1 (c)	**AO1 – 1 mark** Award 1 mark for a correct definition of **interest rate.** • A percentage charged for borrowing money/reward for saving money **(1)**	**(1)**

Q. No.	State **one** job that an employee of *Samsung* might do in the production department. **Answer**	Mark
1 (d)	**AO2 – 1 mark** Award 1 mark for a job that an employee of *Samsung* may do in the production department • A *Samsung* employee may work on the production line that makes laptops **(1)** • A *Samsung* employee may be responsible for the quality control of the TV's **(1)** **NB** Do not accept a reason that is not in the context of *Samsung* Accept any appropriate response	**(1)**

7

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part c in this mark scheme extract

Q. No.	Calculate the factory's productivity of smartphones per hour. You are advised to show your working **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 – 2 marks** Award 2 marks for the correct answer 50 **(2)** **OR** award 1 mark for workings if final answer is incorrect 1000 / 20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain one advantage to a business of mass marketing. **Answer**	**Mark**
1 (f)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of mass marketing, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • More sales may be generated **(1)** as the product is promoted to a large number of people **(1)** which may improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

8

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part c in this mark scheme extract

Q. No.	Analyse how recruitment documents may help *Samsung* to hire the best employees for its business **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* can review the information contained in the curriculum vitae (CV) of the applicants to consider the previous experience of the design engineers • *Samsung* can use a person specification to stipulate the education and skills required by the recruits to manufacture and design TV's and smartphones **AO3** • The CV can be used by *Samsung* to decide if the applicant experience match the requirements of jobs in its business. • This should lead to *Samsung* only receiving applications from people who have the skills required to help them compete in the electronics market	**(6)**

9

Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Type MS · Effects of interest rate changes

Answer 4 of 12 · Question 1 part c · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part c in this mark scheme extract

Q. No.	State **one** reason why *Samsung* may need long-term finance. **Answer**	**Mark**

Type MS · Effects of interest rate changes

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of profit. • Profit is the difference between total revenue and total costs **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 - 2 marks** Award 1 mark for identifying an impact of an increase in interest rates on *Backyard Shoez.* One further mark for outlining it in the context of the business. *Backyard Shoez* could see a decrease in sales of shoes **(1)** because their customers who have debts have less income to spend on luxury items because they are paying more back to lenders **(1).** **NB** Do not accept a reason that is not in context of *Backyard Shoez*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 - 2 marks** 100 000/ (4 300 – 3 500) OR 100 000/ 800 **(1)** = 125 shoes **(1).** NB: Alternatively if candidates have worked out revenue instead of number of shoes then marks can be awarded for calculating break even revenue: 125 x 4 300 = 537 500Ks **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Effects of interest rate changes

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* will be able to see that it needs to sell 125 pairs before it can break-even. • *Backyard Shoez* can ask 'what if' questions and see what impact various price changes have on the break-even point. **AO3** • This will enable *Backyard Shoez* to know if they are breaking even and moving into profit. • They can raise or lower the price to become more competitive with other shoe shops.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Effects of interest rate changes

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding is a quick way to raise finance to buy new shoes/latest fashion. • Option 2 – An overdraft allows *Backyard Shoez* a temporary facility to withdraw funds from its bank to buy the required amount of stock. **AO3** • Option 1 – They could also pay the investors with products rather than a financial reward which could help cash flow. • Option 2 – If *Backyard Shoez* chooses an overdraft it gives them flexibility and they only pay interest when overdrawn. **AO4** • Option 1 – Crowdfunding is a high risk way of trying to obtain finance, this could result in *Backyard Shoez* not being able to raise sufficient funds to buy the additional stock required therefore impacting on its expansion plans. • Option 2 – The bank can demand repayment at any time and interest rates on overdraft are usually high.	**(9)**

Type MS · Effects of interest rate changes

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Effects of interest rate changes

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Effects of interest rate changes

Answer 6 of 12 · Question 2 part e · 3 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid reason of business failure in the context of the business. • Ollie may not have enough experience of other musical instruments so costs could increase as he may have to employ a specialist musician (1). • An increase in the economy could lead to an increase in the demand of leisure activities and Ollie may not be able to cope with the demand (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for a valid benefit of employing casual staff in the context of the business. • If *TADS* is successful it can employ music teachers for instruments other than drums when needed (1). • When *TADS* has quieter periods of business it can reduce the hours of the specialist teachers (1).	**(1)**

Type MS · Effects of interest rate changes

Answer 6 of 12 · Question 2 part e · 3 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a purpose of market research, plus 2 further marks for explaining this purpose for a business, for a maximum of 3 marks. • A purpose of market research can be to identify your customers' needs (1) this will help you to design your products to meet those needs (1) and allow the business to be more successful (1). NB Answers that list three purposes with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**
Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of a measure of business success, plus 2 further marks for explaining this measure for a business, for a maximum of 3 marks. • A measure can be through customer satisfaction (1). If customers are happy with the products/services they are likely to revisit the business (1) and this could lead to them recommending the business to friends and family (1). NB Answers that list three measures with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Effects of interest rate changes

Answer 6 of 12 · Question 2 part e · 3 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for the identification of an impact of an increase in interest rates, plus 2 further marks for explaining that impact, for a maximum of 3 marks. • An increase in interest rates could lead to higher costs for a business (1). This can lead to a reduction in profits because each month the business must pay back part of the debt (1) and the interest charged on the loan will be higher (1). Answers that list three impacts of an increase in interest rates with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Effects of interest rate changes

Answer 6 of 12 · Question 2 part e · 3 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using commission *TADS* would encourage its teachers to find new pupils who want to learn music. • Option 2 – Increasing the hourly rate would encourage music teachers to work for longer hours. **AO3** • Option 1 – By recruiting more pupils teachers will be paid a commission on top of their hourly rate for teaching. • Option 2 – Teachers are more likely to remain with *TADS* as they believe they are being paid well for the work they do. **AO4** • Option 1 – However, the commission is a one-off payment and once paid the teachers would only receive their hourly rate, which may not be sufficient to continue to be employed by *TADS*. • Option 2 – However, if *TADS* cannot increase the number of pupils it may not be able to retain all of the teachers it currently employs.	**(9)**

Type MS · Effects of interest rate changes

Answer 6 of 12 · Question 2 part e · 3 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Effects of interest rate changes

Answer 6 of 12 · Question 2 part e · 3 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	**(1)**

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	**(1)**

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	**(1)**

Question Number	Define the term **personal savings.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	**(1)**

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part f in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** AO2 • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods AO3 • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	(6)

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Effects of interest rate changes

Answer 7 of 12 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part f in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

Type MS · Effects of interest rate changes

Answer 8 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Starbucks* should have good communication with its customers. • By communicating with customers, they are likely to return to buy more sandwiches from *Starbucks* **(1)** • Having good communication with customers encourages them to return to the shop so that a customer orders coffee and cake is understood and accurately delivered **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Q. No.	State **one** way *Starbucks* could follow health and safety legislation. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Starbucks* could follow health and safety legislation in the context of the business • Employees must ensure that when they are serving customers with biscuits they are handled with tongs or gloved hands **(1)** • Employees need to following the rules and regulations when using the coffee machines to avoid hot water and steam that could burn their hands **(1)** **NB** Do not accept a way that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Type MS · Effects of interest rate changes

Answer 8 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Explain **one** reason why many manufacturing businesses use just-in-time (JIT). **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why many manufacturing business use just-in-time (JIT), plus 2 further marks for explaining the reason, for a maximum of 3 marks. • JIT reduces the amount of inventory held by a business **(1)** reducing the costs associated with over ordering of inventory **(1)** meaning overall costs for a business may be reduced **(1)** • JIT reduces the amount of out-of-date or damaged stock **(1)** reducing the amount of storage space required for inventory **(1)** and this can then be used for other business activities **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why it is important that businesses pay their suppliers on time. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why it is important for a business of paying its suppliers on time, plus 2 further marks for explaining the reason for a maximum of 3 marks. • Paying suppliers on time establishes a good relationship with suppliers **(1)** and if a business needs goods urgently from them **(1)** they would be more likely to help them knowing they would be paid on time **(1)** • Paying on time, gives the business better negotiating powers with the supplier **(1)** so that if the supplier trusts them they may negotiate better prices **(1)** thus keeping its costs down **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Effects of interest rate changes

Answer 8 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Explain **one** effect on a business if interest rates are decreased. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of an effect on a business if the interest rates are decreased, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A decrease in interest rates reduces the cost of borrowing for a business **(1)** making it cheaper to finance new projects/expansion **(1)** improving the profitability of the business **(1)** • This could increase sales income for a business **(1)** because consumers may have more money to spend **(1)** on additional items they might want, which the business sells **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Effects of interest rate changes

Answer 8 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	**Option 1:** financial methods **Option 2:** non-financial methods. Justify which **one** of these two methods *Starbucks* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees, such as bonus payments if the coffee shop increases its sales • **Option 2** – If *Starbucks* could offer its employee's non-financial benefits such as job enrichment within the coffee shop, so employees can gain more skills and knowledge of the business **AO3** • **Option 1** – Employees recognise that they are being financially rewarded for working hard and enjoy the extra income and this may encourage them to stay with the business • **Option 2** – Employees will gain new skills and knowledge and feel valued by *Starbucks,* which may help them gain promotion such as becoming an assistant manager and they will feel more loyal to Starbucks **AO4** • **Option 1** – However, not all employees are interested in bonus payments, as many employees are more interested in a good work-life balance and more concerned with non-financial incentives • **Option 2** – However, not all employees are motivated by non-financial methods of motivation, they may prefer having additional funds added to their pay slip so that they can pay their bills	**(9)**

Type MS · Effects of interest rate changes

Answer 8 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Effects of interest rate changes

Answer 8 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **crowdfunding**. **Answer**	Mark

Type MS · Effects of interest rate changes

Answer 9 of 12 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 590 ÷ 4 221 x 100 **(1)** = 13.98 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Effects of interest rate changes

Answer 9 of 12 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Analyse the effects for *NEXT* of an increase in UK interest rates. Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the interest rate rises then consumers will spend less on items such as clothing from *NEXT* • Consumers are less likely to purchase *NEXT* furniture on credit. **AO3** • This could lead to a reduction in sales for *NEXT* which could have an impact on its profits • This could lead to *NEXT* not being able to sell its inventory	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Effects of interest rate changes

Answer 9 of 12 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate the importance for *NEXT* of maintaining quality throughout all of its manufacturing processes. Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Consumers who purchase clothes expect quality goods • Quality of products give a business a good reputation **AO2** • *NEXT* provide quality furniture and fashionable dress for customer to buy • A poor reputation may mean that *NEXT* attracts fewer customer to its worldwide shops **AO3** • *NEXT* will have to ensure that all manufacturers of their clothes and furniture, maintain the same standard throughout 70 countries • *NEXT* may have to close some of its shops which would reduce the number of its outlets and sales **AO4** • However, maintaining this standard is expensive as the production of clothes and furniture will need constant inspection to ensure that the items are of the quality set • However, once a poor reputation for quality is gained amongst customers for clothes or furniture it is very hard to regain their loyalty	**(12)**

Type MS · Effects of interest rate changes

Answer 9 of 12 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5-8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of c business information and issues relevant to the choice made (AO4).

Type MS · Effects of interest rate changes

Answer 9 of 12 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9-12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Effects of interest rate changes

Answer 9 of 12 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Effects of interest rate changes

Answer 10 of 12 · Question 1 part g · 6 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

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Type MS · Effects of interest rate changes

Answer 10 of 12 · Question 1 part g · 6 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Effects of interest rate changes

Answer 10 of 12 · Question 1 part g · 6 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Type MS · Effects of interest rate changes

Answer 10 of 12 · Question 1 part g · 6 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Effects of interest rate changes

Answer 10 of 12 · Question 1 part g · 6 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Effects of interest rate changes

Answer 11 of 12 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **multinationals** • A business that operates in more than one country **(1)**	**(1)**

Q. No.	Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *TUI* offers employees working in its travel agencies, a commission based on the number of holidays they sell plus 1 further mark for linking it to the context of the business. • An employee will work harder to sell *TUI*'s cruises and extensions to holidays **(1)** because the more they sell the more commission they will receive **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate, to **two** decimal places, the current ratio for *TUI* for 2022. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 7 758 152 ÷ 5 654 468 **(1)** = 1.37 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Effects of interest rate changes

Answer 11 of 12 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Q. No.	Analyse the effect on *TUI* customers of an increase in interest rates. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may have less to spend on holidays and cruises if interest rates increase • Some customers on holiday may not book additional trips or excursions offered by *TUI* **AO3** • This could lead to a reduction in customers booking holidays or going to travel agencies of *TUI* competitors • This could lead to *TUI* having to reduce or cancel trips, which reduces its income	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Effects of interest rate changes

Answer 11 of 12 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Q. No.	**Option 1:** using the internet **Option 2:** asking customers to complete a questionnaire. Justify which **one** of these two options *TUI* should use. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *TUI* could use the internet to view a wide variety of customers comments made about their experiences and service received whilst on holiday in Greece • **Option 2** – Customers can take their time completing the form giving details of the experiences/services they received whilst taking part in a day trip around Rome **AO3** • **Option 1** – By using the internet it does reduce the time spent researching and is less costly than other methods available • **Option 2 –** Thus giving *TUI* detailed information of their trip and possible ways to improve it **AO4** • **Option 1** – However, *TUI* could spend a great deal of time looking at information which is not relevant to them or is out of date, or even places they do not offer holidays to • **Option 2** – However, not all customers may want to complete the questionnaires so there may be less data to use	**(9)**

Type MS · Effects of interest rate changes

Answer 11 of 12 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Effects of interest rate changes

Answer 11 of 12 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the percentage increase in the cost of the employees from 2021 to 2022. **Answer**	Additional Guidance	Mark

Type MS · Effects of interest rate changes

Answer 12 of 12 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 938 x 8 = 7 504 **(1)** 7 504 x 6% = 450.24 **(1)** **Or** 938 x 6% = 56.28 **(1)** 56.28 x 8 = 450.24 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse other forms of technology *CCT* can use to communicate its services. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Social media can be used to target the bicycle enthusiasts • E-newsletters can keep previous customers up-to-date on any new bicycle services being offered **AO3** • This helps *CCT* to personalise the information to the customer based on what they have searched for on the internet • This allows *CCT* to reach out to customers who have already been on the bicycle tours to encourage them to book another tour or recommend *CCT* to friends and family	**(6)**

Type MS · Effects of interest rate changes

Answer 12 of 12 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Effects of interest rate changes

Answer 12 of 12 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the impact on *CCT* of an increase in the Chinese interest rate. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The cost of borrowing money • The rate of interest charged by the banks **AO2** • If *CCT* want to take out a loan to cover the cost of buying electric bicycles it will be more expensive if interest rates increase • People living in China will have to pay more for borrowing money and may have less disposable income to spend on touring the country **AO3** • Leading to an increase in fixed costs. This means more revenue will be required to be able to reach the break-even point • This could lead to a reduction in the demand for the bicycle tours lowering the revenue for *CCT* and increasing the risk of business failure **AO4** • However, if *CCT* strongly believe that taking out a loan will help them to expand then it might be worth taking the risk as the additional revenue can be used to cover the higher interest rates. • However, an increase in interest rates in China may not impact the foreign tourists that visit the country, and therefore this increase in rates may have little impact on the demand for *CCT*'s bicycle tours	**(12)**

Type MS · Effects of interest rate changes

Answer 12 of 12 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Effects of interest rate changes

Answer 12 of 12 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Effects of interest rate changes

Answer 12 of 12 · Question 4 part c · 12 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

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